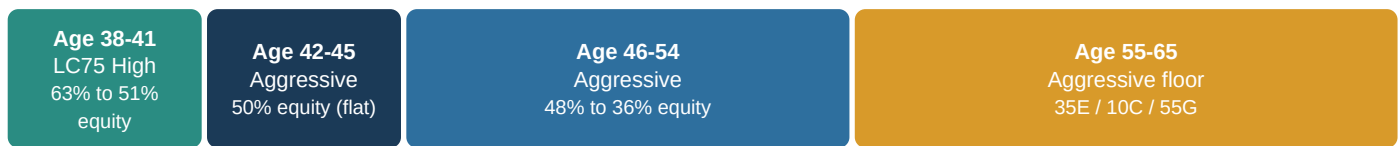


NPS Retirement Strategy: Age 38 to 65

Plan (scheme) change and PFM change: one merged decision system

YOUR PLAN PATH



Switch from LC75 High to Aggressive at age 42 (first age where Aggressive holds more equity). Exit at 65.

TWO INDEPENDENT DECISIONS

	Plan (scheme)	Pension fund manager (PFM)
Default	Auto Choice LC75 High now; Aggressive (35E/55Y) from age 42 to exit	A top 10Y and 5Y performer (sources name HDFC and ICICI Prudential). Keep your current PFM if it already ranks near the top
Review	Every year in Sept/Oct, plus each birthday equity check	Every year in Sept/Oct, using 3Y, 5Y and 10Y data
Change when	Age 42 crossover; age 50 check; or a real change in risk capacity or retirement horizon	Bottom half of peers on both 5Y and 10Y AND behind Nifty 50 TRI, two years running, AND a challenger passes every switch test
Limit	Up to 4 investment-choice changes per FY (plan uses 1 or 2)	1 change per FY. Wait a year after changing

RULES THAT SIT ABOVE EVERY FLOWCHART

- 1 Never change plan or PFM because of one bad year. Judge PFMs on 3Y, 5Y and 10Y, never 1Y alone.
- 2 After a market fall of 20% or more, do nothing for 30 days and write down your reasoning first.
- 3 No market-timing switches (for example, moving to a low-risk plan after a rally). Change plan only for age or structural reasons.
- 4 Compare PFMs on the E, C and G mix your plan actually holds at your age, not Scheme E alone.
- 5 Keep a decision log: date, old and new choice, reason, how you felt. Read it before every switch.

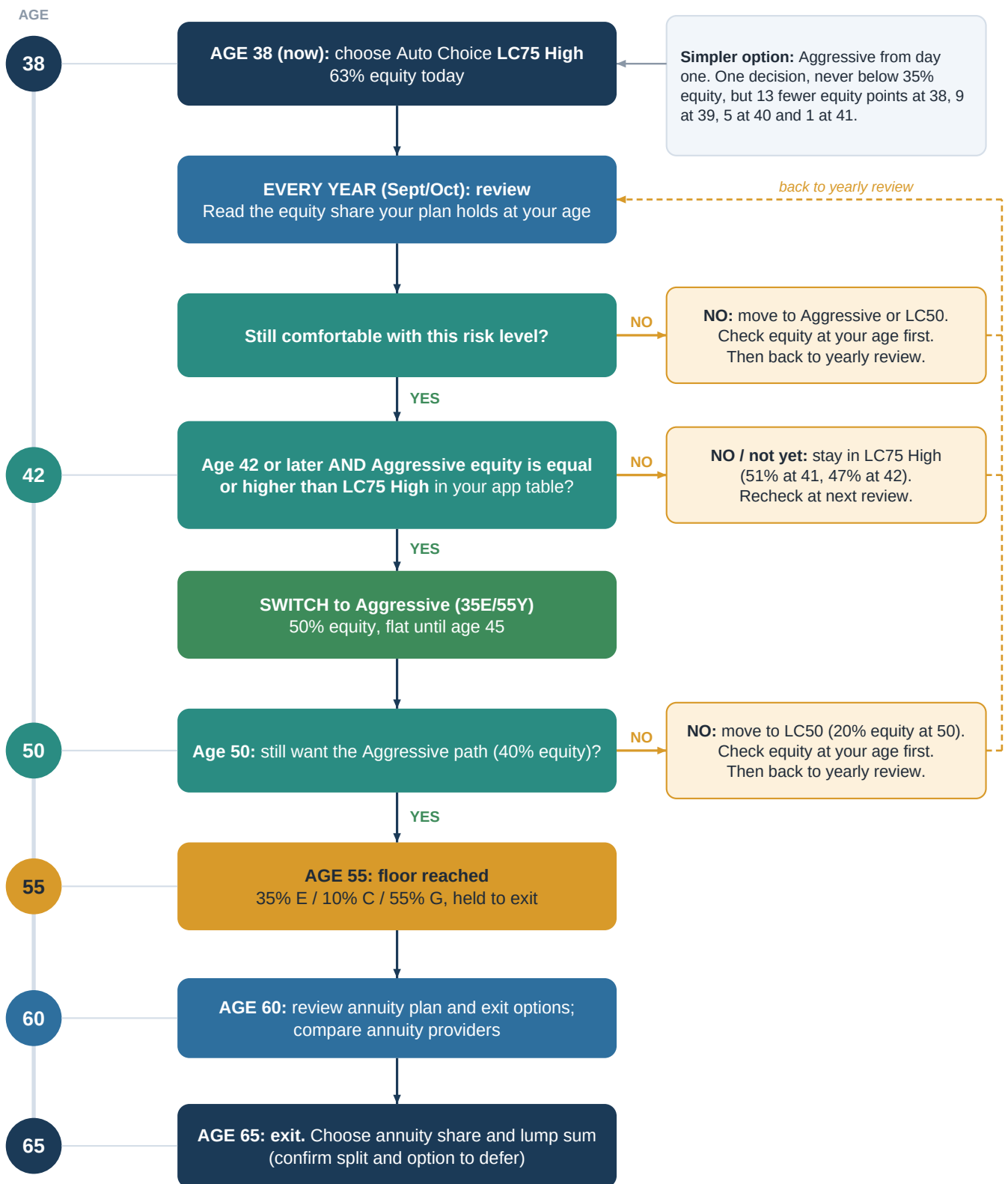
HOW TO USE THIS DOCUMENT

- Page 2: Flowchart 1, plan (scheme) change by age.
- Page 3: Flowchart 2, PFM change, with what to weigh at each age.
- Page 4: Equity glide path by age for every plan, with chart.
- Page 5: PFM scorecard, yearly calendar, decision log, notes and sources.

Analysis, not personalised financial advice. NPS returns are market-linked. Plan names, switch limits and exit rules can change: confirm them in your NPS app / CRA login and on npstrust.org.in before acting.

Flowchart 1: Plan (scheme) change by age

Auto Choice LC75 High now, Aggressive (35E/55Y) from age 42, review every year

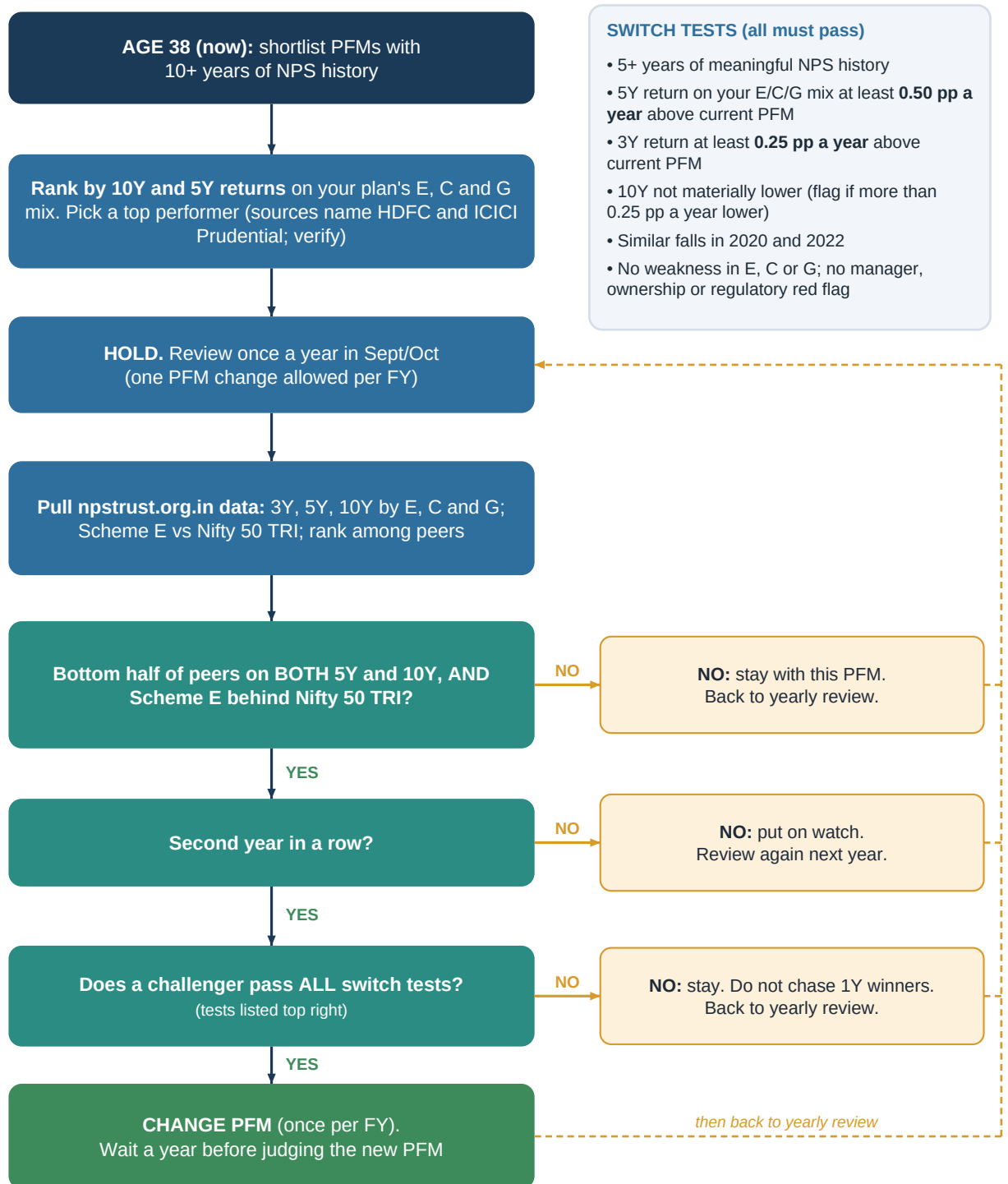


Reading the chart. Teal boxes are decisions, coloured boxes are actions, amber boxes show what happens on the other answer and every one returns to the yearly review. Age circles on the left mark where each step applies.

Optional higher-equity route: Active Choice (you set the mix): up to 75% equity until age 50, falling 2.5 points a year to 50% from 60. More growth, but you rebalance yourself; check it is open to your account type. Not used as the default here (see page 4).

Flowchart 2: PFM change, reviewed by age

Default is to keep the current PFM. Change only for multi-year underperformance.

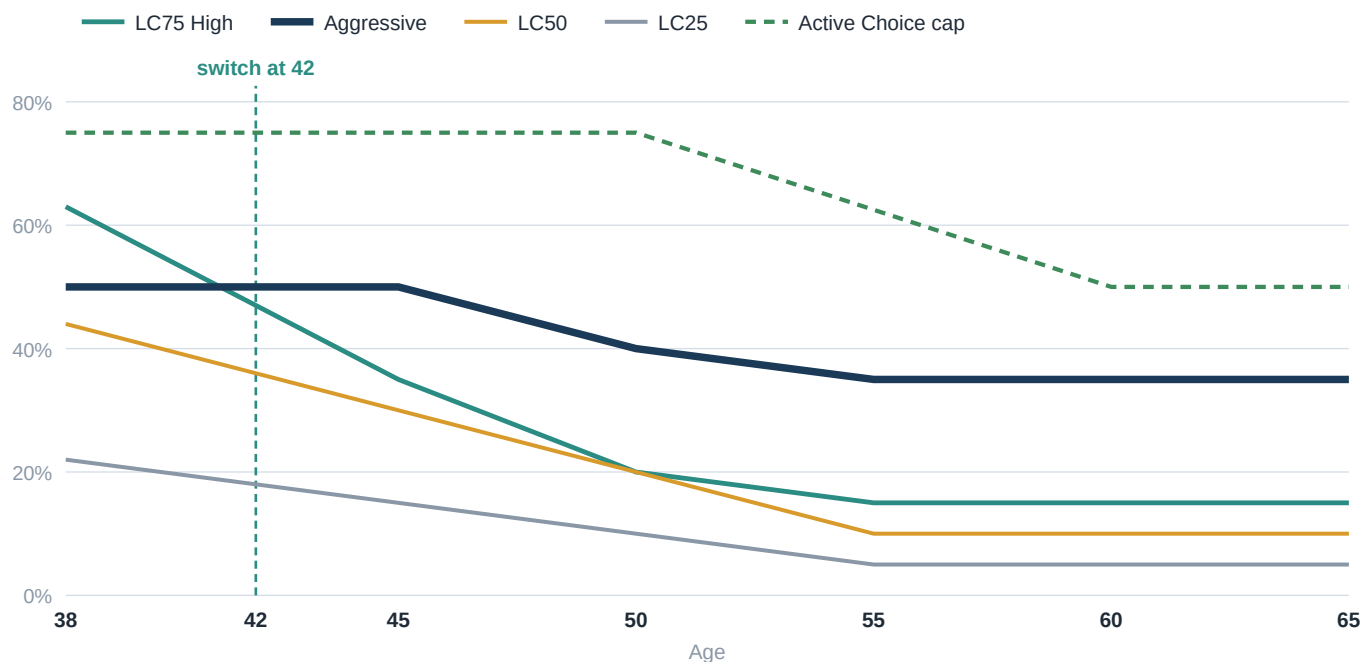


WHAT TO WEIGH AT EACH AGE (use the mix your plan holds)

Age	Plan held	Mix (E / C / G)	Focus when reviewing the PFM
38-41	LC75 High	63% to 51% equity	Equity dominates: Scheme E vs Nifty 50 TRI and peers
42-45	Aggressive	50 / 30 / 20	Equity still leads; corporate bonds now 30%, so check Scheme C
46-54	Aggressive	48 to 36 / 28 to 12 / 24 to 52	Re-weight yearly: government securities rising, check Scheme G
55-65	Aggressive floor	35 / 10 / 55	Debt side dominates: Scheme G (55%) matters most; equity still 35%
60	Exit planning	n/a	Compare annuity providers and confirm exit options

Equity glide path by age

Share of your corpus in equity under each plan, age 38 to 65



Age	LC75 High equity %	Aggressive equity %	Aggressive corp. bonds %	Aggressive govt. sec. %	LC50 equity %	LC25 equity %	Active Choice max equity %
38	63	50	30	20	44	22	75
39	59	50	30	20	42	21	75
40	55	50	30	20	40	20	75
41	51	50	30	20	38	19	75
42	47	50	30	20	36	18	75
43	43	50	30	20	34	17	75
44	39	50	30	20	32	16	75
45	35	50	30	20	30	15	75
46	32	48	28	24	28	14	75
47	29	46	26	28	26	13	75
48	26	44	24	32	24	12	75
49	23	42	22	36	22	11	75
50	20	40	20	40	20	10	75
51	19	39	18	43	18	9	72.5
52	18	38	16	46	16	8	70
53	17	37	14	49	14	7	67.5
54	16	36	12	52	12	6	65
55-59	15	35	10	55	10	5	62.5 to 52.5
60-65	15	35	10	55	10	5	50

Notes. LC75 High, LC50 and LC25 follow the official PFRDA age tables (anchors at 35, 40, 45, 50, 55; yearly values between anchors interpolated where not published). Aggressive uses the exact yearly PFRDA values. Highlighted rows: 42 is the first age Aggressive holds more equity than LC75 High; 50 and 55 are decision and floor ages. Active Choice shows the allowed maximum, not a recommendation. Confirm every figure against the age table in your NPS app.

PFM scorecard, calendar and records

PFM SCORECARD (pass or fail; a challenger must pass every row)

Test	Rule
Track record	At least 5 years of meaningful NPS history; shortlist only PFM's with 10+ years
5Y result	Return on your plan's E/C/G mix at least 0.50 pp a year above your current PFM
3Y result	At least 0.25 pp a year above your current PFM (3 years is the minimum to judge an equity manager)
10Y result	Not materially below your current PFM; flag if more than 0.25 pp a year lower
Benchmark	Scheme E compared with Nifty 50 Total Return Index over rolling 3 years
Peers	NPS Trust returns table: bottom half on both 5Y and 10Y for two years running is a concern
Risk and governance	Similar falls in 2020 and 2022; no E, C or G weakness; no manager, ownership or regulatory red flag

YEARLY AND AGE-LINKED CALENDAR

When	Action
April	Check a full year of contributions was credited; review the annual statement
Sept / Oct	Main review: Flowchart 1 (plan) and Flowchart 2 (PFM). Decide whether to change anything
March	Optional second look, only if Sept/Oct raised a concern; confirm 80CCD deductions
Each birthday	Read the equity share your plan holds now and confirm you are comfortable
Age 42	Compare LC75 High and Aggressive in the app table; switch if Aggressive holds equal or more equity
Age 50	Confirm you still want Aggressive (40% equity) for the last 15 years, or move to LC50
Ages 55, 60, 65	55: floor reached, confirm retirement date and annuity plan. 60: compare annuity providers. 65: exit
After a 20% fall	Do nothing for 30 days; write down your reaction first

DECISION LOG (copy for each review)

Review date		Age / retirement age	
Current plan		Current PFM	
3Y / 5Y / 10Y vs peers		Scheme E vs Nifty 50 TRI	
Plan change?		PFM change?	
Reason, evidence, how I felt, next review date			

HOW THE THREE SOURCES WERE MERGED

- **LC75 High values** come from the official PFRDA table (63% at 38, 43% at 43, 20% at 50). One source estimated 51% at 43 and 30% at 50, which pushed the switch point to age 43 to 45; the correct crossover is **age 42**.
- **Aggressive path** uses the exact yearly PFRDA values (40% equity at 50, not about 43%).
- **Dropped:** the March tactical switch to LC25 after a market rally. It is market timing, conflicts with the 30-day rule, and uses up changes.
- **PFM tests** combine the benchmark, peer and 3Y/5Y/10Y checks. The Word plan's percentage weights summed to 90%, so they are replaced by pass/fail gates.
- **Change limits** follow CRA guidance: investment choice up to 4 times a year, PFM once a year. This plan needs 1 or 2 plan changes in 27 years.
- **Active Choice** is kept as an optional manual route (75% cap to age 50, then 2.5 points lower each year to 50% at 60), not the default.

SOURCES

PFRDA circulars of 17 Oct 2025 (life cycle nomenclature) and 1 Dec 2025 (investment choices for Central Government subscribers); PFRDA life cycle and Active Choice tables as published by NPS pension funds; NPS Trust scheme performance: npstrust.org.in/weekly-snapshot-nps-schemes. *Analysis, not personalised financial advice. Confirm plan names, switch limits and exit rules in your NPS app before acting.*